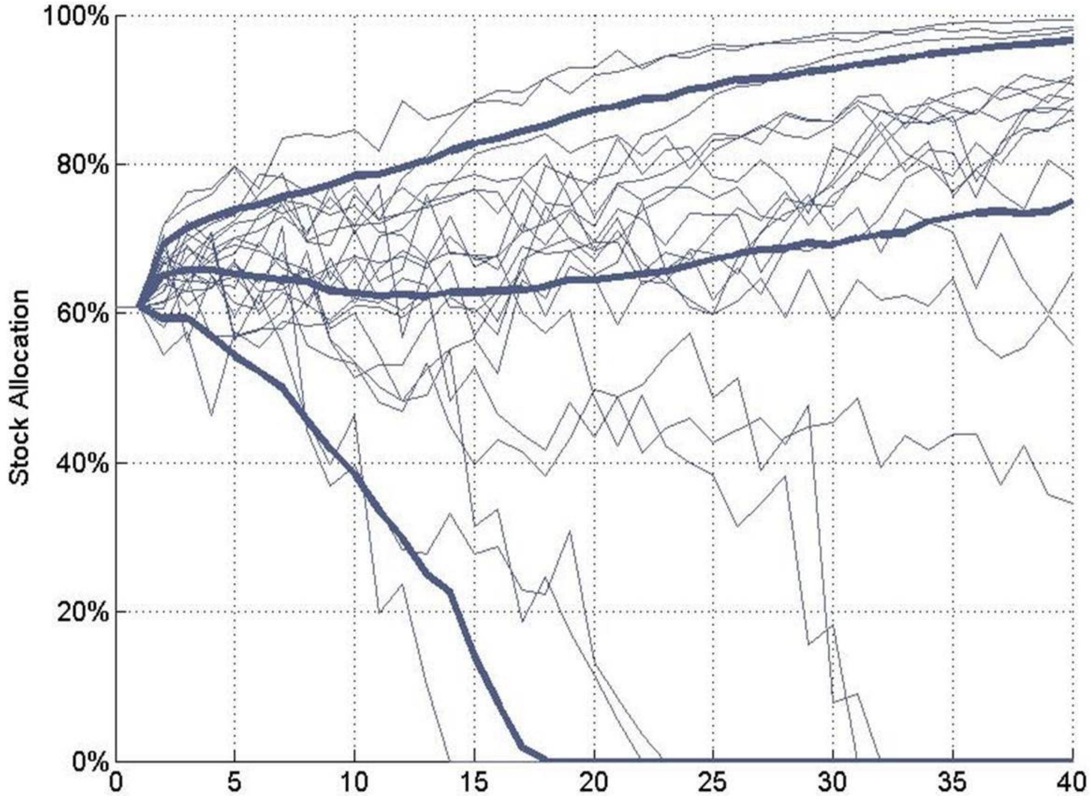
allocations slightly compared to the automatic ladder. Again, effort is made to preserve the bond ladder length as much as possible, which does lead the stock allocation to decline after bad market outcomes. This happens at a slower pace than before, though, as the market-based approach provides more flexibility for short-term bond ladder reductions as well.

Exhibit 7.17

Dynamic Asset Allocation in Retirement

Twenty Random Simulations for a Market-Based 10-Year Rolling Ladder Along with the 10th, Median, and 90th Percentiles for the Entire Distribution



Finally, personalized rules can be based on a “critical path” for retirement wealth. Within retirement income planning research, I have observed three cases in which a “critical path” is used to help guide decisions around retirement spending. First, Huxley and Burns used a critical path to help decide when to extend the bond ladder in their *Asset Dedication* book.